FHSA Government Rules

CRA's First Home Savings Account rules for 2026, in plain English, with what changes when you hold FHSAs at more than one institution

The FHSA combines the best of an RRSP and a TFSA: contributions are deductible like an RRSP, and a qualifying withdrawal for your first home is tax-free like a TFSA, and never has to be paid back. The rules below are the ones that cost people money when they get them wrong, especially when they hold more than one FHSA.

KEY NUMBERS FOR 2026

Rule	Number
Annual limit	$8,000 a year (set by law, not indexed to inflation)
Lifetime limit	$40,000 across all your FHSAs
Carry-forward	Up to $8,000 of unused room, so at most $16,000 in one year
Over-contribution tax	1% per month on your highest excess FHSA amount in the month
Contribution deadline	December 31. No 60-day grace period
Deduction	Line 20805 of your return, with Schedule 15
Maximum time open	15 years from opening your first FHSA, or until the end of the year you turn 71
RRSP Home Buyers' Plan	Up to $60,000, and you can use it together with your FHSA

1. WHO CAN OPEN AN FHSA

Condition	Detail
Resident	You are a resident of Canada.
Age	At least 18, and not older than 71 at the end of the year you open it.
First-time home buyer	At no time in the current year before opening the account, or in the previous 4 calendar years, did you live in a home that you owned or jointly owned, or that your current spouse or common-law partner owned or jointly owned, as your principal residence.
How many FHSAs	As many as you like, at as many institutions as you like. Your limits are shared across all of them.

2. CONTRIBUTION ROOM

Your **participation room** starts the year you open your first FHSA. You get $8,000 for that year even if you open the account in December. No room builds up in the years before you open one, which is why many people open an FHSA early with a small deposit just to start the clock.

Unused room carries forward, but **only up to $8,000**. Room is the same no matter how many FHSAs you hold.

Example	Room for the year	Contributed	Carried forward	Lifetime used
2024 (first FHSA opened)	$8,000	$5,000	$3,000	$5,000
2025	$11,000	$8,000	$3,000	$13,000
2026	$11,000	$8,000	$3,000	$21,000
2027	$11,000	$11,000	$0	$32,000
2028	$8,000	$8,000	$0	$40,000 (limit reached)

Multiple institutions: two FHSAs at two institutions share one $8,000 a year and one $40,000 lifetime limit. Neither institution knows what you put in the other. CRA My Account shows your participation room, but it can lag behind deposits you made this year, which is exactly the gap the tracker fills.

3. OVER-CONTRIBUTIONS

If what you put in goes above your participation room, CRA charges a tax of **1% per month** on your highest excess FHSA amount in that month, for every month the excess stays. Unlike the RRSP, there is **no $2,000 buffer**.

To stop the tax, withdraw the excess (a designated withdrawal, which is not taxed as income) or designate it as a transfer to your RRSP. The tax keeps applying until the excess is removed or new room arrives on January 1.

4. MOVING MONEY

Move	Uses FHSA room?	What to know
FHSA to FHSA (direct transfer)	No	Ask the receiving institution to transfer directly. Your room and lifetime limit do not change.
Withdraw, then re-deposit	Yes	Counts as a withdrawal plus a brand new contribution. The withdrawal never gives room back. Avoid this.
RRSP to FHSA (direct transfer)	Yes	Tax-free but NOT deductible, and you do not get your RRSP room back.
FHSA to RRSP or RRIF (direct transfer)	No	Tax-free and does not need or use RRSP room. A good exit if you do not buy a home.

5. THE TAX DEDUCTION

Contributions (not RRSP transfers in) are deductible on **Line 20805**, reported on **Schedule 15**. You do not have to claim the deduction in the year you contribute: you can carry it forward and claim it in a later year when your income, and your tax bracket, is higher.

Contributions made in January and February count for the new year and cannot be deducted on the previous year's return. Only you can deduct contributions to your own FHSA.

6. GROWTH AND INVESTMENTS

Interest, dividends and capital gains inside an FHSA are not taxed. You can hold the same kinds of qualified investments as in a TFSA or RRSP: stocks listed on a designated exchange, ETFs, mutual funds, GICs and bonds.

US dividends: the Canada-US tax treaty exemption covers RRSPs and RRIFs, not FHSAs. US-listed dividend stocks will generally have 15% withheld at source, and you cannot get it back inside an FHSA. Canadian-listed ETFs that hold US stocks are taxed inside the fund.

7. QUALIFYING WITHDRAWAL: BUYING YOUR FIRST HOME

A withdrawal is tax-free when all of these are true:

Condition	Detail
First-time buyer at withdrawal	You did not live in a home you owned or jointly owned at any time in the current year (except the 30 days just before the withdrawal) or the previous 4 calendar years.
Written agreement	You have a written agreement to buy or build a qualifying home in Canada before October 1 of the year after the withdrawal.
You will live there	You intend to make it your principal residence within one year of buying or building it.
Timing	You did not buy the home more than 30 days before the withdrawal, and you are a resident of Canada from the withdrawal until you buy.
The form	Give your institution Form RC725, Request to Make a Qualifying Withdrawal from your FHSA.

FHSA plus the Home Buyers' Plan: you can make a qualifying FHSA withdrawal AND withdraw up to $60,000 from your RRSP under the HBP for the same home. The FHSA money never has to be paid back; the HBP does.

Any other withdrawal is a taxable withdrawal: it is added to your income for the year and the institution withholds tax. It never restores room.

8. WHEN YOUR FHSA MUST CLOSE

Your FHSA must be closed by December 31 of the year in which the **earliest** of these happens:

- the 15th anniversary of opening your first FHSA,
- you turn 71, or
- the year after your first qualifying withdrawal.

Anything left can be transferred tax-free to your RRSP or RRIF. Otherwise it is withdrawn and taxed as income.

9. COUPLES AND ESTATES

Each spouse or common-law partner has their own FHSA and their own limits, and both can use their FHSA for the same home. You cannot contribute to your partner's FHSA and deduct it. If an FHSA holder dies, a surviving spouse who qualifies can be named successor holder and take over the account; otherwise it can be transferred to their FHSA, RRSP or RRIF, or paid out.

10. TIPS WHEN YOU HOLD FHSAS AT MORE THAN ONE INSTITUTION

1. **Keep one running total**
   Log every contribution at every institution in one place. That total, not any single institution, is what CRA measures.

2. **Always transfer directly**
   Never withdraw from one FHSA to deposit in another. Ask for a direct transfer.

3. **Check room before December 31**
   There is no grace period, and an over-contribution costs 1% a month with no buffer.

4. **Watch your closing year**
   Plan your purchase, or an FHSA-to-RRSP transfer, before your 15-year or age-71 deadline.

For educational purposes only. Not financial or tax advice. Rules summarized for the 2026 tax year from canada.ca (First Home Savings Account). Always confirm your own numbers in CRA My Account. Questions: hello@maplesheet.ca